SOCIAL JUSTICE AND THE CITY

DAVID HARVEY

SOCIAL JUSTICE AND THE CITY HARVEY

The main question here, of course, is the speed with which different parts of an urban system can adjust to the changes occurring within it. The changes have been rapid in recent decades but there is considerable evidence that the adjustment process takes a relatively long time to work itself out. Furthermore, different parts of the urban system have different capacities for adjustment. Some aspects of urban organization respond immediately whereas others respond very sluggishly. It is therefore misleading to think of adjustment in the urban system as a homogeneous process proceeding at a uniform rate. This varying speed of adjustment means that there are substantial differentials in the disequilibrium in the urban system at any one point in time. To give a simple example: it is clear that there has not been an equal response in the urban population to the potential of mobility associated with the automobile. The time lag is anything from 20 to 40 years between different groups in the population. It would be very surprising indeed if the better educated and more affluent groups had not taken advantage of this time lag to further their own interests and enhance their own income. The allocation of resources then takes place as an adjustment to this new income distribution and a cumulative process of increasing inequality of income distribution gets under way. This is a crude example, but I think it is very general. Certain groups, particularly those with financial resources and education, are able to adapt far more rapidly to a change in the urban system, and these differential abilities to respond to change are a major source in generating inequalities. Any urban system is in a permanent state of differential disequilibrium (by which I mean that different parts of it are approaching equilibrium at different rates). The speed of change and the relative capacities of elements in the urban system to adapt are essential features in the analysis which follows. This implies that we cannot analyse our problem via some general equilibrium framework, although it doesn't prevent us in any way from making use of the theoretical and empirical insights generated from equilibrium analyses.

2 *The price of accessibility and the cost of proximity*

It is generally agreed that accessiblity and proximity are important features of any urban system. I shall briefly examine both

from the point of view of households acting as consumers. Accessibility to employment opportunities, resources and welfare services can be obtained only at a price, and this price is generally equated with the cost of overcoming distance, of using time, and the like. But it is by no means easy to measure the price which people pay. Consider, for example, the difficulty of putting some value upon time in transport studies. And there are other even more complicated problems involved here, for the social price people are forced to pay for access to certain facilities is something which can vary from the simple direct cost involved in transport to the emotional and psychological price imposed upon an individual who has an intense resistance to doing something (the kind of price which may be extorted, for example, from someone who has to take a means test to qualify for welfare). These social and psychological barriers are important. Any discussion of accessibility, therefore, requires that we answer a fundamental question regarding the meaning of "distance" and "space" in an urban system—a problem which I have examined in chapter 1 (see also the excellent review by Buttimer, 1969). In this essay I am going to use the term "proximity" to refer to a rather different phenomenon than accessibility. By proximity, I mean the effects of being close to something people do not make any direct use of. A household may thus find itself proximate to a source of pollution, to a source of noise, or to a run-down environment. This proximity tends to impose certain costs upon the household (for example, cleaning and laundry bills, sound-proofing, etc.).

It should be self-evident that as we change the spatial form of city (by relocating housing, transport routes, employment opportunities, sources of pollution, etc.) so we change the price of accessibility and the cost of proximity for any one household. We will likewise find that these prices and costs are a function of the social attitudes of the population at large insofar as psychological factors play a part. The balance of these changes clearly has the potential for bringing about quite substantial redistributions of income.

3 *Externality effects*

The activity of any one element in an urban system may generate certain unpriced and perhaps non-monetary effects upon

"The Negro female domestic working in a suburban home and living in a centrally located ghetto is the archetype: today, however, she is increasingly joined by male Negroes because employment opportunities in manufacturing, inter-city transportation, and even wholesaling and retailing are increasingly found at suburban locations whereas housing opportunities remain restricted to the central ghetto."

In general, the adjustments to transport systems have favoured suburban areas and neglected the needs of inner areas as far as access to employment is concerned. But even if transport policy reversed this trend, there is something paradoxical about expecting low-income households, whose rationale for locating in the inner city in the first place (we are told) depended upon minimizing their outlays on transport cost, to lay out the expenditure necessary to reach suburban employment centres simply because the housing market cannot adjust (in terms of quantity or location) to the changing location of employment. This seems a classic case of the inflexibility of a city's spatial form generating almost permanent disequilibrium in the city social system. From the policy point of view, it indicates the need for public interference in the housing market (by, for example, constructing low income housing close to suburban employment opportunities). Otherwise, there seems little hope of achieving the so-called "natural equilibrium solution" in any reasonable time period, even if we concede that this natural equilibrium is one which is socially acceptable.

The general picture which emerges from this brief survey of the mechanisms governing redistribution of income by way of locational shifts can be summarized as follows:

1. The predominantly low-income inner city area has a decreased opportunity to tap new sources of employment since these are mainly located in suburban areas. As a result there is a trend towards a high and growing incidence of unemployment in inner city areas.
2. Because of inelasticity and locational inflexibility in the supply of low-income housing, the low-income household has little opportunity to migrate into suburban areas, and faces rising housing prices in the inner city area.
3. If the low-income household of the inner city does obtain employment in the suburbs, it is faced with greater outlays

on transport costs than it should theoretically be able to withstand (a situation which has not been helped by the lack of attention paid to *inside-out* transit systems.

Differential disequilibrium in the spatial form of the city can thus redistribute income. In general, the rich and relatively resourceful can reap great benefits while the poor and necessarily immobile have only restricted opportunities. This can mean a quite substantial regressive redistribution of income in a rapidly changing urban system.

REDISTRIBUTION AND THE CHANGING VALUE OF PROPERTY RIGHTS

I do not want to examine all aspects of the changing value of property rights, so for illustrative purposes I shall consider that particular property right which remains embedded in the spatial form of the city—land parcels and the buildings thereon. The value of such property rights can change differentially in a city quite markedly over fairly short periods of time. These changes are often thought of as the result of demographic movements, changes in local facilities, swings in fashion, changing investment policies, and so on. It is also evident that the value of any one property right is very much affected by the values of neighbouring property rights (Mishan, 1967, 60–63; Muth, 1969, 118–19). The actions of individuals and organizations other than the owner can therefore affect property values. These external effects on the value of a property holder's rights are not under the property holder's control nor are they adequately catered for in the pricing system operating in a supposedly free market. In reality, of course, there is never a free and open housing market nor do all operators in it have perfect information. Also, as we have already seen, there are different elasticities of supply for different types of housing (low-income housing being in general far less responsive to changes in demand than middle- or high-income housing). But even if we assume away these complications, we still have to deal with the theoretically thorny problem of externalities in the housing market. These externalities can arise from many different sources—they are, so to speak, constantly hovering over the

land and property market. Insofar as the property market is sensitive to them, we can expect them to influence land values—for instance, a new source of pollution will lead to a decline in land values, a new park facility may lead to a rise in land values. I shall examine these kinds of externality from rather a different point of view in the next section. In this section, I shall concentrate upon their impact upon the land market itself. Davis and Whinston put the theoretical problem in these terms:

"If dependence is present, then individual action is sufficient for the market mechanism to produce prices with sufficient information content to lead the system to Pareto optimality. On the other hand if independence is not present, then purely individual action alone cannot be expected to achieve Pareto optimality via the unrestricted pricing mechanism." (1964, 443.) The meaning given here to independence is that the "utility payoffs to any person are not affected by the choice of sites made by any other person." This condition is clearly violated in the housing market since the utility payoffs of one person are very sensitive indeed to the choice of sites made by other people and to the investment decisions of other land and property owners. The problem then arises of how a Pareto-optimum can be achieved. Government intervention could suffice, provided the central government possessed enough information regarding the varying utility which individuals attach to different sites. Such a situation seems very unlikely (which is not a sufficient reason for dismissing ultimate government intervention in the housing market). But one way of attaining a Pareto optimum is by group action in the housing market. Thus "if group action is allowed and if properly defined boundary constraints result in group independence, then prices have sufficient information content to lead to a two-step or multi-step solution" (Davis and Whinston, 1964, 433). These groups must be organized into a spatial structure of zones and conditions in each zone must have a negligible effect upon conditions in other zones. This zonal independence is, of course, unlikely to hold in practice; but the Davis and Whinston model is interesting in that it illustrates how group action in a housing market can serve to counter the difficult problems posed by the existence of externalities and thereby enhance the value of property rights. Different kinds of coalition can form:

"First, consumers who mutually impose interaction costs

upon each other might coordinate their strategies by selecting sites which are separated by some specific distance, thus reducing interaction costs and raising their security levels. This kind of coalition is called a non-homogeneous group. Second, consumers may coordinate their strategies by selecting sites which are adjoining and thus excluding from the specified subarea uses which impose interaction costs upon them. This latter type of coalition is called a homogeneous group."

The logical outcome of this is a territorial organization of the city in which each territory contains a group with relatively homogeneous values and utility functions and behaviours (insofar as these relate to property). This amounts to a spatial organization designed in such a way as to share out externalities (and create externalities for others). At this juncture, it is interesting to employ that shadowy form of inference (beloved of economists) called by Buchanan (1968a, 3) "inferential prediction" to derive some kind of institutional order which would facilitate sharing externalities in the housing market. Zoning obviously fulfils this role and Davis and Whinston use their model primarily as a justification for zoning operations. Even without this institution, however, it would be tempting to hypothesize that the social organization of a city gains much of its efficiency and stability through a spatial organization designed to protect external benefits and eliminate external costs as they arise within each community or neighbourhood. Some externalities can effectively be dealt with in this way (for instance, those associated with the tone of a neighbourhood). There appears, therefore, to be some theoretical justification for the existence of territorial social organization in a city. If we accept this proposition for the moment, it is interesting to go on and ask how the city can be partitioned in some rational manner. Should the communities be large and face the costs and difficulties of devising a cooperative strategy for a large number of people or should they be small (and be unable to control the externalities imposed by other small groups)? Implicit, therefore, in this whole approach to a rational sharing of external costs and benefits in the housing market is the awkward question of defining an appropriate regional or territorial organization. An infinite number of regionalizations could be devised, but presumably we need to identify that particular regionalization which maximizes the sum of individual utilities (Davis and

Whinston, 1964, 442). But problems of this sort have no easy or obvious answer.

A number of criticisms and qualifications may be made of the preceding analysis. First, the rationality of the coalition procedure assumes an equal ability and willingness on the part of individuals to negotiate. The history of zoning indicates, however, that such a condition is unlikely to hold, particularly in situations where there is considerable imbalance in the distribution of economic and political power (Makielski, 1966). Second, we are forced to assume no externality effects between zones and this condition is usually violated. It is possible to devise strategems for "between-community" conflict resolution and it should, theoretically, be possible to resolve such conflicts provided an adequate negotiating machinery exists. This raises some awkward problems about inter-community bargaining processes, however, and I shall therefore leave this issue for detailed examination in a later section. It is sufficient to note here that interdependencies of this sort destroy the conditions for a Pareto optimum. Third, we have to consider the problem posed by the assumed simultaneity of site selection. Site selection proceeds sequentially and this implies that late arrivals in the market "have the advantage of additional information since they can observe what had taken place" (Davis and Whinston, 1964, 433). The pattern of externalities in the housing market is, therefore, changing sequentially as the occupation of new sites will invariably impose new costs and benefits on sites already developed. If there were no costs or resistance to moving, no problems would arise; but since there are, we cannot expect the market to operate in an optimal fashion. Early-comers to the market will presumably either try to bribe or coerce the late-comers in order to maintain the pattern of externalities to their own benefit. Since the ability to do either of these things depends entirely upon the economic and political power of the groups concerned, we are likely to find a spatial evolution in the housing market and a pricing system which will tend to yield external benefits to the rich and impose external costs upon the poor and politically weak.

What this analysis of the housing market shows us is that a free market cannot give rise to prices conducive to a Pareto optimum and that the housing market, for reasons of its own spatial internal logic, must contain group action if it is to